ISB 120

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UNIT 1: INTRODUCTION TO MICROECONOMICS

- Definition and scope of microeconomics
- Distinction between microeconomics and macroeconomics
- Key microeconomic concepts: opportunity cost, scarcity, rational decision-making
- The role of microeconomics in shaping economic policy and decision-making
- Historical perspectives and the evolution of microeconomic thought
- The scientific method and economic research
- Microeconomics and interdisciplinary connections (e.g., psychology, sociology)
- Practical applications of microeconomics in daily life

DEFINITIONS OF ECONOMICS:

- Several definitions of Economics have been given. For the sake of convenience let us classify the various definitions into four groups:
- 1. Science of wealth
- 2. Science of material well-being
- 3. Science of choice making and
- 4. Science of dynamic growth and development
- We shall examine each one of these briefly

WEALTH DEFINITION – Adam Smith

- Economics as "an enquiry into the nature and causes of wealth"
- **MAIN FEATURES OF WEALTH DEFINITION**
- Economics is concerned with the study of wealth only
- The term wealth denotes only material goods. Non-material goods like services and free goods are excluded
- Economics studies the causes of wealth changes which means economic development

- **CRITICISM OF THE DEFINITION**
- **1. Too much emphasis on wealth:** Adam smith treated economics as political economy and therefore emphasised the importance of wealth from a national angle. If wealth is looked upon as money alone, it will give wrong pictures.
- **2. Restricted Meaning of Wealth:** He defined wealth is material goods only, like table, radio, sweets etc. Non-material services of teacher, doctors are not taken as wealth.
- **3. Concept of Economic Man:** Wealth definition was based mainly on an economic man who was supposed to give attention to economic activities only. But in reality

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- behavior cannot be properly understood and analysed unless the other motives such as love, affection, sympathy are also given due weightage.
- **4. No Mention of Man's Welfare:** Wealth definition explains the wealth-getting and wealth-spending activities of man alone. It pays to attention to the importance of the welfare of the society.
- **5. Economic Problem:** He considered the basic economic problems of meeting unlimited wants with scare means. But the central problem of economics is not at all touched by his definition.

WELFARE DEFINITION – ALFRED MARSHALL

- Economics is a study of mankind in the ordinary business of life. It examines that part of individual and social action which is most closely connected with the attainment and with the use of the material requisites of well being".
- Economics is on the one side a study of wealth and the other important side is a part of the study of man.

FEATURES OF WELFARE DEFINITION

- **1. A study of mankind:** Economics is study of mankind in the ordinary business of life that means man's activities in the market as a producer and as a consumer of wealth.
- **2. A study of social actions:** According to him, economics is a social science which covers the activities of an ordinary man.
- **3. Study of Material Welfare:** He gave the primary place to man and secondary place to wealth. Moreover it does not study the whole of human welfare, but only a part of its economic or material welfare.
- **4. Normative Science:** Welfare definition is the study of the causes affecting the material welfare. Moreover it studies the related activities concerned with wealth. Therefore he made economics as a normative study.

CRITICISM OF WELFARE DEFINITION

- **1. Material and Non-Material Welfare:** Marshall has given more attention to the study of material welfare alone. The services of teacher, lawyers, singers etc, do promote welfare and such welfare may be termer as non-material welfare.
- **2. Objection to welfare:** According to Robbins, there are certain material activities which do not promote welfare. The manufacture of wine and opium are certainly economic activities, but they are not conductive to human welfare.
- **3. Classificatory Definition:** According to Robbins, the materialist definition is classificatory rather than analytical. Marshall definition classifies human activities into ‘economic’ and ‘non-economic’, ‘productive’ and ‘unproductive’, ‘material welfare’ and ‘non-material welfare’. And they considered only those human activities which are undertaken to promote material welfare.
- **4. Welfare cannot be measured:** Marshall’s idea of welfare is based on cardinal utility. But utility is a psychological entity which cannot be measured.

SCARCITY DEFINITION – LIONEL ROBBINS

- “Economics is the science which studies human behavior as a relationship between ends and scarce which have alternative uses”.

FUNDAMENTAL CHARACTERISTICS OF SCARCITY DEFINITION

- **1. Human wants are unlimited:** “Ends” refers to human wants which are unlimited but the resources available to satisfy these wants are limited.
- **2. Scarcity:** The scarcities of means resources (time or money) at the disposal of a person to satisfy his wants are limited.
- **3. Alternative use of scare means:** Economic resources are not only scare but are also put to alternative uses that means various choice. We may use land for raising crops or for building houses.
- **4. The economic problem:** According to him, resources are limited and it have alternative use. The choosing of one is at the cost of another.

CRITICISM OF SCARCITY DEFINITION

- **1. It is too narrow and too wide:** It is too narrow because it excludes such topics as defects of economic organization which lead to idle resources. It is to wide to admit with allocation of scarce means which have alternative uses.
- **2. It study only positive science:** Robbins study explain only about positive science which means what is it but not about what should be.
- **3. It confines micro analysis:** It is concerned with how as individual faces unlimited ends with scare means. But economic problems are mostly social in character rater than individual.
- **4. Ignores growth Economics:** Economics of growth and development is integral part of economics. But he does not pay any attention to these aspects of economics.
- **5. Not applicable to under developed countries:** A peculiar feature of many under developed countries is that the resources are not scarce, but they are either underutilized or unutilized or misutilized.

GROWTH DEFINITION – SAMUELSON

- Economics is a social science mainly concerned with the way how society employs its limited resources which have alternative uses, to produce goods and services for present and future consumption of various people or groups.

MAIN FEATURES OF GROWTH DEFINITION:

- 1. It is applicable even in a batter economy where money measurement is not possible.
- 2. The inclusion of time element makes the scope of economics dynamics
- 3. This definition possesses universality in its applications.
- **Note:** Growth definition is similar to scarcity definition and it is an improvement over the scarcity definition.

DIVISION OF ECONOMICS

- Consumption
- Production
- Exchange
- Distribution
- Public Finance

CONSUMPTION

- Consumption deals with the satisfaction of human wants. There is economic activity in the world because there are wants.
- When a want is satisfied, the process is known as consumption.
- In this section, we study about the nature of wants, the classification of wants and some of the laws dealing with consumption such as the
- law of diminishing marginal utility,
- Engel’s law of family expenditure and
- The law of demand.

PRODUCTION

- Production refers to the creation of wealth. Strictly speaking, it refers to the creation of utilities.
- And utility refers to the ability of a good to satisfy a want.
- There are three kinds of utility. They are form utility, place utility and time utility.
- Production refers to all activities which are undertaken to produce goods which satisfy human wants.
- Land, labour, capital and organization are the four factors of production.

In the sub- division dealing with production

- We study about the laws which govern the factors of production.
- They include Malthusian Theory of population
- The laws of returns.
- We also study about the localization of industries and,
- Industrial organization.

EXCHANGE

- In modern times, no one person or country can be self-sufficient.
- This gives rise to exchange. In exchange, we give one thing and take another.
- Goods maybe exchanged for goods or for money.
- If goods are exchanged for goods, we call it barter.
- Modern economy is a money economy.
- As goods are exchanged for money, we study in economics about the functions of money,
- The role of banks and we also study how prices are determined. We also discuss various aspects of international trade.

DISTRIBUTION

- Wealth is produced by the combination of land, labour, capital and organization. And it is distributed in the form rent, wages, interest and profits. In economics, we are not much interested in personal distribution. That is, we do not analyse how it is distributed among different persons in the society. But we are interested in functional distribution. As the four factors or agents of production perform different functions in production, we have to reward them.

PUBLIC FINANCE

- Public finance deals with the economics of government.
- It studies mainly about the income and expenditure of government. So we have to study about different aspects relating to
- Taxation,
- Public expenditure,
- Public debt and so on.

NATURE OF ECONOMICS

- The nature of economics deals with the question that whether economics falls into the category of science or arts.
- Various economists have given their arguments in favour of science while
- Others have their reservations for arts

ECONOMICS AS A SCIENCE

- Science is a systematized body of knowledge which trades the relationship between cause and effect.
- Robbins considered economics as a science and he explains that the last three words of economics' indicate a clear proof that it is a science like Physics, Mathematics and Dynamics.
- **ARGUMENT IN FAVOUR OF ECONOMICS AS A SCIENCE**
- The following arguments are advanced to consider economics as a science
- **1. Systematized study:** The scientific method of study consists of three important steps
- Observation
- Reasoning, and
- Verification
- Likewise in economics also theories have been formulated after the relevant matters are systematically collected, classified and studied.
- Economics systematically divided into consumption, Production, Exchange, Distribution and Public Finance

ARGUMENT IN FAVOUR OF ECONOMICS AS A SCIENCE …

2. Scientific Law: A science is not a mere collection of facts, but establishes a relationship between causes and effect.

- Like wise, in economics, the law of demand states that other things being equal, a fall in price of a commodity leads to an increase in demand and vice versa.

3. Experiments: In physical sciences, experiments can be conducted in laboratories,

In economics, laboratory is the economy/society in which several laws and theories can be tested.

ARGUMENT IN FAVOUR OF ECONOMICS AS A SCIENCE …

4. Measuring Rod of Money: According to Marshall, the measuring rod of money has conferred a special status to economics like other physical sciences.

- Just as the chemist's fine balance has made chemistry more exact than most of other physical sciences; so economics balance (money) rough and imperfect as it is, has made economics more exact than any other branch of social science'.
- **5. Universal:** The last requirement for a science is that its laws should be universal.
- In economics also, the law of demand, law of diminishing returns etc. are universal in nature.

ECONOMICS AS AN ART

- Science is quantitative but the basis of art is qualitative.
- Science is descriptive while art is suggestive.
- Scientific study is impersonal and objective while art is deeply personal and subjective.
- According to J.N. Keyne's "An art is a system of rules for the attainment of given end'.
- A science teaches us to know, an art teaches us to do – Luigi Cossa.
- The systematic application of scientific principles is an art.

ECONOMICS AS AN ART…

- In this view, economics is an art.
- Economics provides solutions to many of the problems.
- Example: the law of equi-marginal utility helps a consumer to solve his problem of getting maximum satisfaction with limited means.
- The consumer surplus analysis helps a finance minister in the field of taxation.
- Keyne's Theory of employment provides a solution to unemployment.
- Science requires art; art requires science, each being complementary to the other. Thus economics is both a science and an art

POSITIVE AND NORMATIVE APPROACHES

POSITIVE APPROACHES

- A positive science is concerned with ‘what is’.
- It explains what it is,
- How it works and what its effects are.
- According to Milton Friedman, positive economics deals as to how an economic problem is solved.
- Robbins, Senior and Friedman are the main champions of positivism.
- It simply explained cause and effect relationship.

NORMATIVE APPROACHES

- Marshall, Fraser, wolf and Paul streeten are the main advocates of Normative science.
- Normative science concerned with “what should be” or “What ought to be”
- Normative science evaluates.
- According to Milton Friedman, normative science deals with how economic problem should be solved.
- Normative economics depends on value judgment

ECONOMICS IS BOTH A POSITIVE AND A NORMATIVE SCIENCE

- The modern economists accept that economics is both a positive science and a normative science.
- They argue that optimum utilization of the resources would not be the only aim
- But also the achievement of some desirable objective such as more and just distribution of economic power and opportunities

SCOPE OF ECONOMICS

- Economists use different economic theories to solve various economic problems in society.
- Its applicability is very vast.
- From a small organization to a multinational firm,
- Economic laws come into play.
- The scope of economics can be understood under two subheads:
- Microeconomics and
- Macroeconomics.

Microeconomics

- Microeconomics examines individual economic activity, industries, and their interaction. It has the following characteristics:
- **Elasticity:** It determines the ratio of change in the proportion of one variable to another variable. For example- the income elasticity of demand, the price elasticity of demand, the price elasticity of supply, etc.
- **Theory of Production:** It involves an efficient conversion of input into output. For example- packaging, shipping, storing, and manufacturing.
- **Cost of Production:** With the help of this theory, the object price is evaluated by the price of resources.
- **Monopoly:** Under this theory, the dominance of a single entity is studied in a particular field.
- **Oligopoly:** It corresponds to the dominance of small entities in a market

Macroeconomics

- It is the study of an economy as a whole. It explains broad aggregates and their interactions “top down.” Macroeconomics has the following characteristics:
- **Growth:** It studies the factors which explain economic growth such as the increase in output per capita of a country over a long period of time.
- **Business Cycle:** This theory emerged after the Great Depression of the 1930s. It advocates the involvement of the central bank and the government to formulate monetary and fiscal policies to monitor the output over the business cycle.
- **Unemployment:** It is measured by the unemployment rate. It is caused by various factors like rising in wages, a shortfall in vacancies, and more.
- **Inflation and Deflation:** Inflation corresponds to an increase in the price of a commodity, while deflation corresponds to a decrease in the price of a commodity. These indicators are valuable to evaluate the status of the economy of a country

BRANCHES OF ECONOMICS

- **Microeconomics** – concerned with individual markets and small aspects of the economy.
- **Macroeconomics** – concerned with the whole aggregate economy. Issues such as inflation, economic growth and trade.

I MICRO ECONOMICS

- **1. Neo-classical economics:** Key people: Leon Walrus, William Jevons, John Hicks, George Stigler and Alfred Marshall.
- Neo-classical economics built on the foundations of free-market based classical economics.
- It included new ideas such as Utility maximization, Rational choice theory, Marginal analysis.
- Neo-classical economics is often considered to be orthodox economics.
- It is the economics taught in most text-books as the starting point for economics teaching.
- The tools of neo-classical economics (supply and demand, rational choice, utility maximization) can be used in new fields and also for critiques.

2. Development economics:

- Key people: Simon Kuznets and W. Arthur Lewis, Amartya Sen and Muhammad Yunus.
- Concerned with issues of poverty and under-development in poorer countries of the world.
- Development economics is concerned with both micro and macro aspects of economic development.
- Issues include Trade vs aid,
- Increasing capital investment,
- Best ways to promote economic development,
- Third World debt

3. Environmental economics/welfare economics:

- Key people: Garrett Hardin, E.F. Schumacher, Arthur Pigou.
- This places greater emphasis on the environment.
- This can include: Neo-classical analysis of external costs and external benefits.
- From this perspective, it is rational for man to reduce pollution,
- Market failures – tragedy of the commons, Public goods, external costs, external benefits,
- Environmental economics can take a more radical approach – questioning whether economic growth is actually desirable.

4. Behavioral economics:

- Key people: Gary Becker, Amos Tversky, Daniel Kahneman, Richard Thaler, Robert J. Shiller,
- Behavioral economics examines the psychology behind economic decision making and economic activity.
- Behavioral economics examines the limitation of the assumption individuals are perfectly rational.
- It includes Bounded rationality – people make choices by rules of thumb,
- Irrational exuberance – People get carried away by asset bubbles,
- Nudges/Choice architecture – how the framing of decisions affects the outcome

Econometrics:

- Key people: Jan Tinbergen
- Use of data to find simple relationships.
- Econometrics uses statistical methods,
- Regression models and data to predict the outcome of economic policies.
- For example, Okun’s law suggests a relationship between economic growth and unemployment

6. Labour economics:

- Key people: Knut Wicksell
- Concentration on wages, labour employment and labour markets.
- Labour economics starts from neo-classical premise of labour supply and marginal revenue product of labour.
- Recent developments in labour economics have placed greater emphasis on non-monetary factors, such as
- Motivation, enjoyment and labour market imperfections.

II MACRO ECONOMICS

- **1. Classical economics:** Classical economics is often considered the foundation of modern economics.
- It was developed by Adam Smith, David Ricardo, Jean-Baptiste Say. Classical economics is based on
- Operation of free markets. How the invisible hand and market mechanism can enable an efficient allocation of resources.
- Classical economics suggests that generally, economies work most efficiently when government intervention is minimal and concerned with the protection of private property,
- Promotion of free trade and limited government spending.
- Classical economics does recognise that a government is needed for providing public goods, such as defense & security**II MACRO ECONOMICS**
- , law and order and education.

2. Keynesian economics:

- Key people: John Maynard Keynes, Paul Samuelson.
- Keynesian economics was developed in the 1930s against a backdrop of the Great Depression.
- The existing economic orthodoxy was at a loss to explain the persistent economic depression and mass unemployment. Keynes suggested that markets failed to clear
- For many reasons (e.g. paradox of thrift, negative multiplier, low confidence). Therefore, Keynes advocated government intervention to kick-start the economy.

3. Marxist economics:

- Key people: Karl Marx
- Emphasises unequal and unstable nature of capitalism.
- Seeks a radically different approach to basic economic questions.
- Rather than relying on free-market advocate state intervention in ownership, planning and distribution of resources.

4. Austrian economics :

Key people: Ludwig Von Mises, Carl Menger

- This is another school of economics that was critical of state intervention, price controls. It is broadly free-market.
- However, it criticised elements of classical school – placing greater emphasis on the individual value and actions of an individual.
- For example, Austrian economists argue the value of a good reflects the marginal utility of the good – rather than the labour inputs.

5. Mercantilism:

- Early model of economics emphasising tariff barriers and accumulation of gold reserves. Mercantilism
- **6. Monetarist economics:** Key people: Milton Friedman, Anna Schwartz.
- Monetarism was partly a reaction to the dominance of Keynesian economics in the post-war period.
- Monetarists, led by Milton Friedman argued that Keynesian fiscal policy was much less effective than Keynesians suggested.

Monetarists

- Promoted previous classical ideals, such as
- Belief in the efficiency of markets.
- They also placed emphasis on the control of the money supply as a way to control inflation.
- Monetarist economics became influential in the 1970s and 1980s, in a period of high inflation –
- Which appeared to illustrate the breakdown of the post-war consensus.

Practical applications of microeconomics in daily life

- Price Fixation-Demand & Supply
- Look at Maize Yield of 2024 and 2025
- In Zambia due to drought Maize yield was low in 2024 affecting production of mealie meal and demand was still high for mealie meal hence price of a 25kg bag was too high going up-to K340 per bag
- In 2025, there was plenty rain and the effect is high yield in maze, high production of mealie meal, local people have maize and stop buying mealie meal, low demand for mealie meal, low price.
- War in Russia & Ukraine Have Affected Price of Major commodities like fuel, Low income countries like Zambia have been affected by increased price of fuel, unstable pricing methods, low fuel supply yet high demand.

Assignment Questions

1. Write on the importance of economic literacy for informed citizenship.

2. Explain The role of microeconomic analysis in addressing global challenges (e.g., poverty, climate change)

Assignment Instructions

Font & Font Size: Verdana & 12 respectively

Total No. of Pages 4. Including cover page & References

References: APA or Harvard Style

Due Date: 13th June, 2025.